NEXARION SOLUTIONS, INC.

State-Specific Policy Addendum

Version 2.1 | Effective January 1, 2025
Applies to: California, New York, Illinois, Washington, Georgia

This Addendum identifies state-specific laws that modify, supplement, or supersede provisions of the Nexarion Solutions Employee Handbook (Version 4.2). Where this Addendum conflicts with the Handbook, this Addendum controls for employees working in the applicable state. Employees working in states not listed here are governed solely by the Employee Handbook. This Addendum is updated as laws change; the HR portal always contains the most current version.

Introduction: How to Use This Addendum

This Addendum is organized by state. Each section identifies the relevant state, the Handbook provision being modified, the nature of the modification (supplement, override, or expansion), and the legal basis for the change. Employees are encouraged to read only the section(s) applicable to their work location. Employees who work remotely are governed by the laws of the state in which they physically perform their work, not the state in which Nexarion's offices are located.

> *Nexarion's headquarters are in Georgia. Georgia-based employees are subject to Georgia law as the default, with the Handbook applying in full unless Section 5 (Georgia) of this Addendum provides otherwise. Employees who relocate to a different state must notify HR within 10 business days. Failure to do so may result in incorrect tax withholding and non-compliance with applicable local law.*

Section 1: California (CA)

California has the most expansive employee protection laws in the United States. Multiple Handbook provisions are modified for California employees. California law generally provides greater employee protections than federal law, and Nexarion complies with the most protective standard applicable in all cases.

1.1 PTO Accrual & Carryover - California Override

HANDBOOK OVERRIDE - The Employee Handbook (Section 7.4) imposes annual PTO carryover caps and states that unused PTO above the cap is forfeited on January 1. This policy does NOT apply to California employees. California law (Labor Code Section 227.3) treats accrued PTO as earned wages. Forfeiture of earned wages is prohibited. California employees may accumulate PTO without a carryover cap. However, Nexarion may impose an accrual cap - once a California employee's PTO balance reaches 1.5x their annual accrual rate, further accrual pauses until the balance drops below the cap.

California-specific PTO accrual caps by tenure:

Years of Service	Annual Accrual	CA Accrual Cap (1.5x)	Handbook Carryover Cap (NOT APPLICABLE IN CA)
0-2 years	15 days	22.5 days	22 days (N/A in CA)
3-5 years	18 days	27 days	26 days (N/A in CA)
6-9 years	22 days	33 days	30 days (N/A in CA)
10+ years	25 days	37.5 days	35 days (N/A in CA)

HANDBOOK OVERRIDE - PTO Payout on Separation: Unlike the Handbook's general statement that PTO is not paid out in states where not legally required, ALL accrued, unused PTO MUST be paid to California employees at separation (resignation, termination, or layoff) at the employee's final rate of pay. This is non-waivable under California law.

1.2 Meal and Rest Break Requirements

California requires specific paid and unpaid breaks that are not addressed in the Employee Handbook (which does not apply a formal break policy for non-California employees). The following applies to all California non-exempt employees:

Shift Length	Meal Break Required	Rest Breaks Required
Less than 3.5 hours	None	None
3.5 to 6 hours	None (waivable by mutual consent)	One 10-minute paid rest break
6 to 10 hours	One 30-minute unpaid meal break (waivable if shift is 6 hrs or less)	Two 10-minute paid rest breaks
10 to 14 hours	Two 30-minute unpaid meal breaks	Three 10-minute paid rest breaks

Penalty for missed breaks: If Nexarion fails to provide a required meal or rest break, the employee is entitled to one additional hour of pay at their regular rate of compensation for each workday that the break is not provided. Managers must actively ensure breaks are taken and must not pressure employees to skip breaks.

1.3 California Family Rights Act (CFRA) vs. FMLA

HANDBOOK OVERRIDE - The Employee Handbook (Section 8.1) describes FMLA, which applies federally. California employees are also covered by the California Family Rights Act (CFRA), which provides additional protections. Key differences:

Provision	FMLA (Handbook Section 8.1)	CFRA (CA Override)
Eligibility threshold	50 employees within 75 miles	5 employees (much lower threshold)
Leave for sibling	NOT covered	Covered under CFRA
Leave for grandparent/grandchild	NOT covered	Covered under CFRA
Leave for domestic partner	NOT covered	Covered under CFRA (same-sex or opposite-sex)
Pregnancy disability leave	Counted against FMLA	CA PDL is SEPARATE from CFRA (up to 4 months PDL + 12 weeks CFRA)
Run concurrently with employer paid leave	Yes (per Handbook)	CA allows employees to choose whether to use PTO concurrently

1.4 Pregnancy Disability Leave (PDL)

HANDBOOK OVERRIDE - California employees are entitled to up to four (4) months of Pregnancy Disability Leave (PDL), which is entirely separate from and in addition to CFRA leave. PDL applies to any disability related to pregnancy, childbirth, or related medical conditions. PDL is unpaid (though employees may coordinate with SDI and PTO), job-protected, and does not count against the employee's CFRA or FMLA entitlement. This means a California employee could receive up to 4 months PDL + 12 weeks CFRA baby bonding leave, totaling approximately 7 months of protected leave.

1.5 Salary History Ban

California law (Labor Code Section 432.3) prohibits Nexarion from asking job applicants about their salary history at any point in the hiring process for California-based roles. Additionally, California employers with 15 or more employees must include the pay scale in any job posting for roles that may be filled in California. HR and Recruiting must ensure all California job postings include applicable pay ranges.

1.6 Final Pay Requirements

HANDBOOK OVERRIDE - California law imposes strict timelines for final pay that differ from the Handbook's general guidance: (a) Involuntary termination: final paycheck must be provided IMMEDIATELY at time of termination, including all accrued PTO. (b) Voluntary resignation with 72+ hours notice: final pay due on last day. (c) Voluntary resignation with less than 72 hours notice: final pay due within 72 hours. Late payment triggers waiting time penalties of one day's wages per day late, up to 30 days.

Section 2: New York (NY)

2.1 New York Paid Sick Leave

New York State requires employers with 100 or more employees to provide 56 hours (7 days) of paid sick leave per calendar year. Nexarion's unified PTO policy satisfies this requirement, as PTO may be used for any reason including illness. However, the following New York-specific rules apply:

- Sick leave accrues at 1 hour per 30 hours worked (for non-exempt employees) or is front-loaded at 56 hours on January 1 for exempt employees.
- Sick leave may be used beginning 120 days after hire date (New York employees specifically - differs from Handbook's 90-day probationary restriction on PTO use).
- New York City employees are subject to NYC Earned Safe and Sick Time Act, which adds safe leave (absences related to domestic violence, sexual assault, stalking) as a protected reason for leave use.
- Employers may not require documentation (doctor's note) for sick leave of fewer than 3 consecutive days.

2.2 New York Salary Transparency Law

Effective September 17, 2023, New York employers with 4 or more employees must include the compensation range (minimum and maximum salary/hourly rate) in all job postings for positions that can or will be performed in New York. Nexarion's Recruiting team must include pay ranges in all NY-applicable job postings. This applies to remote roles where a NY resident may apply.

2.3 New York Paid Family Leave (NY PFL)

> *HANDBOOK OVERRIDE - New York employees are covered by the New York Paid Family Leave (NY PFL) program, which is a state-administered program funded by employee payroll deductions. In 2025, NY PFL provides up to 12 weeks of leave at 67% of the employee's average weekly wage (capped at 67% of the statewide average weekly wage, which is approximately $1,177.32/week in 2025). NY PFL runs concurrently with Nexarion's parental leave policy. Where NY PFL pay is less than Nexarion's paid parental leave benefit, Nexarion will top up to the applicable parental leave rate. Employees cannot receive more than 100% of their regular base pay in combined benefits.*

2.4 Wage Theft Prevention Act (WTPA)

New York's WTPA requires Nexarion to provide written notice to New York employees at time of hire containing: employee's rate of pay, overtime rate (if applicable), pay basis, payday, employer's name and address, and allowances taken as part of minimum wage. HR provides this notice via the onboarding packet for all NY hires. Employees must sign and return the notice within 10 days of hire.

Section 3: Illinois (IL)

3.1 Illinois Paid Leave for All Workers Act

HANDBOOK OVERRIDE - Effective January 1, 2024, the Illinois Paid Leave for All Workers Act requires employers to provide at least 40 hours of paid leave per 12-month period that employees may use for ANY reason, with no documentation or justification required. This is broader than Nexarion's PTO policy (which, while flexible, is subject to manager approval). Illinois employees must be permitted to use up to 40 hours of their PTO balance for any reason without being required to provide a reason to their manager. Managers may not deny these 40 hours for any reason other than operational necessity, and denial requires HR approval.

3.2 Illinois Salary History Ban

Illinois law (Illinois Equal Pay Act) prohibits Nexarion from asking job applicants about their wage or salary history for Illinois-based roles. Additionally, Nexarion may not screen applicants based on their salary history or require that prior salary satisfy any minimum or maximum threshold.

3.3 Chicago Predictive Scheduling (Chicago employees only)

Employees based in Chicago are covered by the Chicago Fair Workweek Ordinance, which applies to certain industries including professional services. For covered Chicago employees (non-exempt only), Nexarion must provide schedules at least 10 days in advance. Changes to the schedule with less than 10 days notice require employee consent and may trigger predictability pay of 1 additional hour of pay. Chicago HR liaisons should consult Legal before implementing short-notice schedule changes for non-exempt Chicago employees.

Section 4: Washington State (WA)

4.1 Washington Paid Family & Medical Leave (WA PFML)

HANDBOOK OVERRIDE - Washington State operates a mandatory Paid Family and Medical Leave insurance program. In 2025, employees may receive up to 12 weeks of paid family leave, up to 12 weeks of paid medical leave, or up to 16 weeks of combined family and medical leave. Benefits are paid at approximately 90% of wages up to 50% of the state average weekly wage, then 50% of wages above that threshold, up to a maximum of $1,456/week (2025). Both employers and employees contribute to WA PFML via payroll deduction. WA PFML coordinates with Nexarion's paid parental leave; Nexarion will top up to 100% of base pay where WA PFML benefits fall short.

4.2 Washington Long-Term Care Act (WA Cares Fund)

Washington employees are subject to the WA Cares Fund payroll deduction of $0.58 per $100 of wages (0.58%), effective since July 1, 2023. This funds Washington's public long-term care insurance program, providing up to $36,500 (lifetime, inflation-adjusted) in long-term care benefits. Employees who purchased qualifying private long-term care insurance before November 1, 2021 may have applied for an exemption. Nexarion's payroll system automatically applies this deduction to all Washington employees unless an approved exemption certificate is on file with HR.

4.3 Salary Transparency

Washington's Equal Pay and Opportunities Act requires Nexarion to disclose the salary range for any position upon request by an applicant or employee. Nexarion must also include the salary range in all job postings for Washington-based roles, along with a general description of all benefits and other compensation.

Section 5: Georgia (GA) - Headquarters State

Georgia is Nexarion's headquarters state and the default jurisdiction for the Employee Handbook. Georgia law is generally less restrictive than other states covered in this Addendum. The following Georgia-specific notes apply:

5.1 At-Will Employment

Georgia is a strong at-will employment state. The Handbook's at-will provisions (Section 2.1) apply in full with no state-level modifications. Georgia does not require advance notice of termination, payment in lieu of notice, or severance of any kind.

5.2 Non-Compete Agreements

Georgia's Restrictive Covenants Act (O.C.G.A. Section 13-8-50 et seq.) governs non-compete and non-solicitation agreements for Georgia employees. Georgia allows reasonable non-compete agreements for employees who are in sales, management, or professional roles with access to confidential information. Nexarion's standard NDA (signed at onboarding) includes non-solicitation provisions that are enforceable under Georgia law. Any non-compete provisions beyond the standard NDA must be reviewed and approved by Legal.

5.3 Final Pay Requirements

Georgia does not have a specific final paycheck timing statute beyond federal law. Nexarion's practice for Georgia employees is to issue final pay on the next regularly scheduled pay date following the last day of work, or sooner if operationally feasible. Accrued, unused PTO is NOT required to be paid out upon separation in Georgia (consistent with Handbook Section 7.4).

5.4 Drug Testing

Georgia participates in the Workers' Compensation Drug-Free Workplace Program. Nexarion maintains a certified Drug-Free Workplace policy in Georgia, which provides a 7.5% discount on workers' compensation insurance premiums. As a result, Georgia employees are subject to pre-employment, post-accident, reasonable-suspicion, and random drug testing as described in Handbook Section 3.1. Employees who refuse to submit to a required drug test will be terminated. A confirmed positive test result for an on-the-job injury may disqualify the employee from workers' compensation benefits.

HR Legal & Compliance: legal@nexarionsolutions.com | This Addendum is reviewed quarterly. Employees should check the HR portal for the most current version.